

Beginner's Guide to Reading Charts

Candlesticks, support and resistance, volume, and trends — explained simply.

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Every trading decision begins with reading a chart. A price chart is a visual record of every trade that happened in a stock — every buyer and seller, every moment of fear and greed. Learning to read it correctly is the single most important skill in technical trading.

CONCEPT 1

What a Candlestick Shows

Each candlestick represents a time period and shows four prices: the open, the high, the low, and the close. A green candle means the stock closed higher than it opened. A red candle means it closed lower. The wicks show the high and low reached during that period.

CONCEPT 2

Support and Resistance

Support is a price level where buyers have consistently stepped in and stopped a decline. Resistance is where sellers have consistently stopped a rally. These levels are the most important reference points on any chart — price reacts at them repeatedly.

CONCEPT 3

What Volume Tells You

Volume is the number of shares traded in a given period. High volume on a price move means conviction. Low volume means the move is weak and may not hold. The most important rule: never trust a breakout without volume.

CONCEPT 4

Identifying a Trend

An uptrend is a series of higher highs and higher lows. A downtrend is lower highs and lower lows. A range-bound market bounces between support and resistance without trending in either direction.

CONCEPT 5

Moving Averages

A moving average is the average closing price over a set number of periods. The 8 EMA, 20 EMA, and 50 SMA are most commonly used. When price is above a moving average it is generally bullish. When below, bearish. They act as dynamic support and resistance.

KEY TAKEAWAYS

- Green candles closed higher than open. Red closed lower.
- Support is where buyers show up. Resistance is where sellers show up.
- High volume confirms moves. Low volume is a warning sign.
- Trade in the direction of the trend — not against it.
- Start with the daily chart to understand context, then go intraday.

